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42 |

**Since making its first Indian investment 15 years ago, the Canada Pension Plan Investment Board, or CPP Investments for short, which manages the retirement funds of its 22 million citizens worth Canadian \$632.3 billion (about US\$467 billion) as of March 31, has invested C\$28 billion across various asset classes here. John Graham, the 52-year-old President and Chief Executive Officer of the pension fund, which set up its first full-fledged office in India about 10 years ago, is noticeably kicked about the Indian opportunity thanks to the “tremendous growth trajectory” and heavy investments in infrastructure and physical assets. Graham discusses the global macroeconomic trends and how the pension fund—projected to reach C\$1 trillion in eight years—views the future of investing in emerging markets, particularly India, with *Business Today’s* Anand Adhikari. Edited excerpts:**

**Q:** We have seen a quarter century of strong growth from CPP. If we look at the next 25 years, how is the fund reorganising itself, managing scale, and diversifying across asset classes, sectors, and geographies?

**A:** The legislation that created CPP Investments dates back to 1997, and the first cheque of \$12 million came in 1999. Today, we manage C\$632 billion. Of that, over C\$400 billion is investment income, so about two-thirds of the total fund value. I would describe the organisation’s journey as evolving from crawling to walking and then running. We started by crawling as a passive investor, then built capabilities to invest

actively, though very selectively, in certain geographies and asset classes. I have been with the organisation for 16 years, and through that time, we have developed capabilities in major asset classes including real estate, private equity, public equity, credit, and hedge funds. We have also built a global footprint with seven offices outside of Toronto. Today, I would consider CPP Investments one of the more sophisticated and active institutional investors in the world.

Looking forward to the next five to 10 years, much of our history has been focussed on building capabilities, relationships, and infrastructure to support our investments. We now have the asset class exposure we want and will focus on executing our strategy. In terms of geography, we invest in both developed and emerging markets, but we are quite selective within emerging markets. We really try to be quite surgical about which emerging markets we dedicate effort into. We aim to focus on fast-growing markets with scale, with India being a key market. As we look to the future, we are transitioning from a build phase to an optimisation and execution phase, focussing on implementing the strategy we have developed.

**Q:** Could you elaborate on the ‘surgical approach’ you mentioned, especially in relation to targeting fast-growing markets?

**A:** Scale is important. We have exposure to a lot of countries through our passive portfolio. But when it comes to actively investing in infrastructure, credit, private and public equities, we adopt a surgical approach. We focus on larger countries around the world, such as China, India, Mexico, Brazil, Chile, and Colombia. We need scale.

**Q:** Which areas specifically do you expect to expand in the coming years?

**A:** We are currently in optimisation mode. We have a relatively large private equity portfolio, a significant real assets portfolio, credit, public equities, and some hedge funds. We have largely met our target allocations for each asset class. The actual changes in these allocations over the next few years may vary by 1% or 2%, but overall, the adjustments will be minor. I expect any changes to be relatively small, more around the edges rather than dramatic shifts.

**Q:** Many countries are increasingly adopting protectionist policies, shifting from multi-lateral to bilateral and regional agreements. We also face new challenges, such as the resurgence of pandemics, disruptions caused by